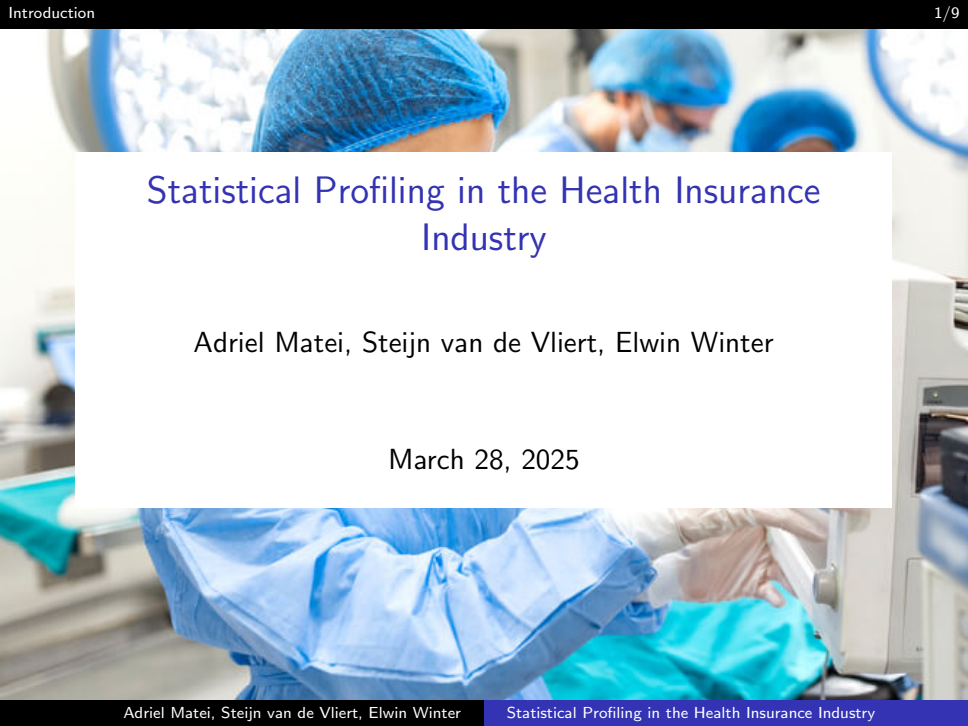




Statistical Profiling in the Health Insurance Industry

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Introduction

- What is statistical profiling?
- Risk factors
- The central question

Utilitarianism

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- Statistical profiling requires more money (data collection, statistical analysis, dispute resolution)

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- Does a person who's not sick but keeps paying for insurance gain enough utility from the sense of security obtained?

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- Does a person who get sick but gets reimbursed really end up utility neutral?
- Does a person who's not sick but keeps paying for insurance gain enough utility from the sense of security obtained?
- People with greater than average risk: negative utility both when getting sick, and when feeling stigmatized (under profiling).
- People with lower than average risk might feel like they are paying for other people's health (in the absence of profiling).

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- Rawls's contractualism: *the veil of ignorance*. Statistical profiling does (generally) fail this test.

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A Classification of Risk Factors

- ① Is the agent responsible for the risk factor?
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Complications do arise:

- Risk factors satisfying all three criteria (i.e. BMI, smoking habits, and alcohol consumption) are often bound to addictive behaviours.
- If the second criteria fails, then one can reasonably argue against profiling under Scanlon's theory.
- If the third criteria fails (i.e. smoking in the 1920s), one can reasonably argue our definition of responsibility also fails.

Policy

- Public policy addresses societal concerns using government authority (Cochran & Malone, 2010).
- Government intervention may be needed to regulate fairness and transparency.
- Affordable Care Act or General Data Protection Regulation (GDPR).
- Genetic Information Nondiscrimination Act (GINA) of 2008.

Conclusion & References

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✨ Thank You! ✨